



Cost Accounting and Budget: Budget Management

SAP Business One
Version 10.0

PUBLIC

THE BEST RUN 

Welcome to the Budget Management topic.

Objectives



At the end of this topic, you will be able to:

- Describe how to manage budget.

- In this topic, we will look at the budget module and see how it helps in managing and track company expenses.

Business Scenario



- You are implementing SAP Business One at a new customer, OEC Computers.
- Maria, the accountant says that in previous years they ended the fiscal year with much more expenses than expected.
- They would like to be able to plan their expenses for a fiscal year and track them during the year.



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- You are implementing SAP Business One at a new customer, OEC Computers.
- Maria, the accountant says that in previous years they ended the fiscal year with much more expenses than expected.
- They would like to be able to plan their expenses for a fiscal year and track them during the year.
- Note that you need to make decisions about accounting definitions together with the client accountant.

Budget Management



January

Year forecast

Expenses G/L account:	Max Amount
Flights	5000
Conferences	10000
Team outing	2500
...	...

The Budget module helps you manage and track company expenses.

- The purpose of budgeting is to provide a forecast of revenues and expenditures.
- The actual financial operation of the business can be then measured against the forecast.
- Enter the maximum amount that can be allocated to a particular G/L account.

- The Budget module helps you manage and track company expenses.
- The purpose of budgeting is to provide a **forecast** of revenues and expenditures.
- This way, the actual financial operation of the business can be measured against the forecast.
- In *SAP Business One* a budget is based on the data you enter, which specifies the **maximum amount** that can be allocated to a particular G/L account.
- In our example, OEC wants to control the expenses they exceeded last year.
- Therefore, at the beginning of the fiscal year, Maria the accountant, enters amounts to the budget forecast for those expense G/L accounts.

Budget Management

September

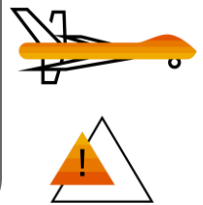
This year forecast

Expenses G/L account:	Max Amount
Flights	6000
Conferences	10000
Team outing	2500
...	...

Actual Amounts

Expenses G/L account:	Acc. Balance
Flights	5000
Conferences	2000
Team outing	2000
...	...

Purchasing order:
Flight tickets
1200

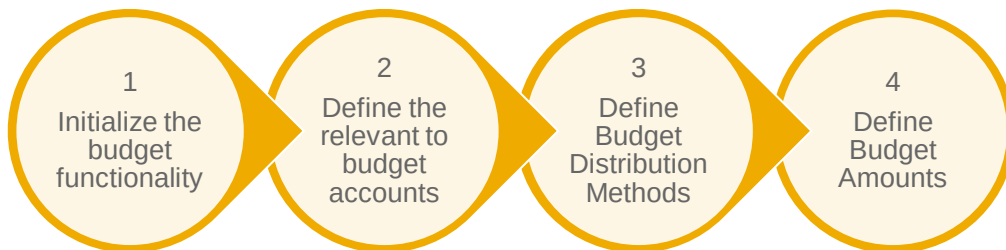


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- You can block the creation of transactions for G/L accounts that exceed their budget limit.
- In the course of routine work, the application checks the **debit side** of the transactions registered to G/L account for which a budget has been defined. If the budget is exceeded, the application either issues a warning or blocks the action, depending on the chosen setting.
- In our example, Maria chose to block transactions that will exceed the budget amounts she defined.
- In September, when a purchase order for flight tickets that exceeds the budget forecast amount is issued, the user is blocked by the system and will not be able to add the order.

Setup Budget



- In order to setup the budget functionality you need to:
 - Initialize the budget functionality in the company database.
 - Define the G/L accounts that will be relevant for budget control.
 - Define budget distribution methods that will automatically divide the budget amount among the months of year.
 - And Finally, define budget amounts for the relevant G/L accounts.
- In the next slides we will review these steps. During this process we will discuss some concepts related to budget definition.

Step 1 - Initialize the Budget Functionality



General Settings

BP Budget Services Display Font & Bkgd Path Inventory Resources Cash Flow

☒ Budget Initialization

For a Document that Deviates from the Budget:

☐ Block Deviation from Budget ☒ Warning ☐ Without Warning

☒ For Annual Budget ☐ For Monthly Budget

☐ Purchase Request
☒ Purchase Orders
☒ Goods Receipt POs
☒ Accounting

* Subjected to authorization to confirm budget deviation

- First, the budget functionality has to be initialized. Go to **Administration → System Initialization → General Settings**, and on the **Budget** tab select the **Budget Initialization** checkbox.
- Then, you define what should happen when documents deviates from budget. Whether to block the creation of transactions that cause the budget to be exceeded. Or to present an alert when the budget is exceeded. The user can confirm and add the transaction, or cancel.
- In the *Authorization* window, under the *Financials* module, there is a *Budget* clause in which you can define authorizations for users to confirm budget deviation in case a G/L account exceeds the budget and an alert is displayed.
- When the *Without Warning* option is chosen, the user will be able to add, without any restriction or warning, transactions that exceed the budget.
- For *Purchase Requests*, *Purchase Orders* and *Goods Receipt POs* the check is made against the budget during the issuing of the document including all open documents and the current one.
- For the *Accounting* option a check is conducted during the issuing of an *A/P invoice* or any other accounting transaction that involves a G/L account relevant to the budget.
- You can manage the budget on an annual or monthly basis. We will discuss these two options in the next slides.

Step 2 - Define the Relevant to Budget Accounts

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Define the relevant to budget accounts

The screenshot shows the 'General Settings' window with the 'Budget' tab selected. Under 'Budget Initialization', the 'Budget Initialization' checkbox is checked. Below it, the text 'For a Document that Deviates from the Budget:' is followed by three radio buttons: 'Block Deviation from Budget', 'Warning' (which is selected), and 'Without Warning'. Further down, there are two radio buttons: 'For Annual Budget' (selected) and 'For Monthly Budget'. A 'System Message' dialog box is open in the foreground, displaying the question 'Mark all P/L accounts as budget accounts?' and a yellow question mark icon. At the bottom of the dialog are 'Yes' and 'No' buttons.

- After you initialize the budget functionality, and update the *General Settings* window, you have the option to mark all profit and loss accounts as budget accounts.
- By choosing *Yes*, the *Relevant to Budget* checkbox is selected in all your profit-and-loss G/L accounts.
- You can then find this checkbox in **Financials** → **Chart of Accounts** → **Account Details** pushbutton.
- Note that you can manually select non profit-and-loss G/L accounts to be relevant to the budget by selecting the *Relevant to Budget* checkbox for each G/L account.

Annual Versus Monthly Budget

Year forecast

**Annual
Budget**

Flights 6000

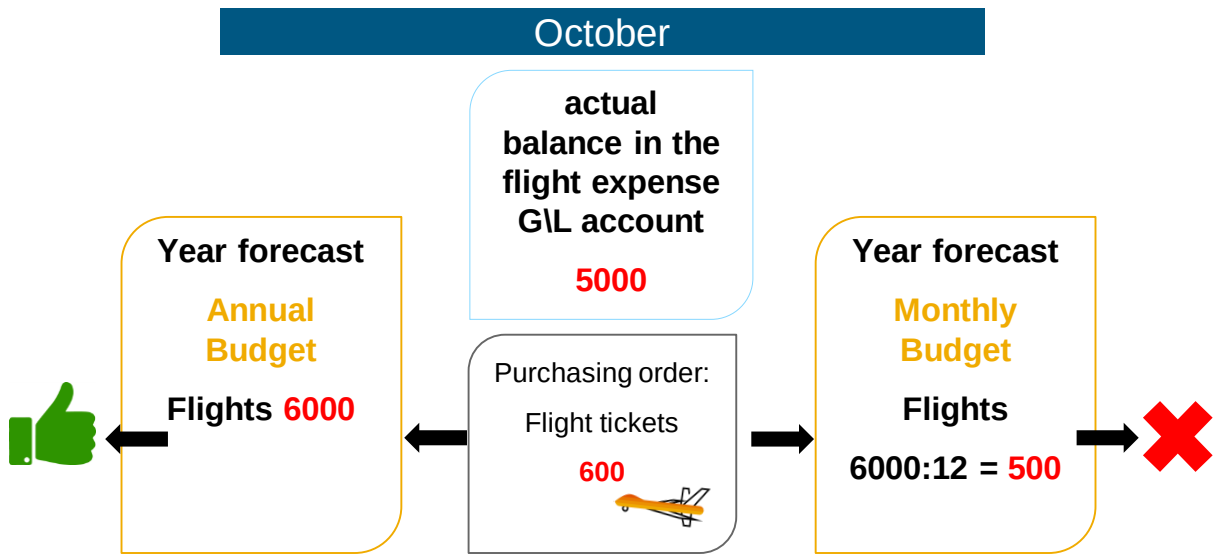
Year forecast

**Monthly
Budget**

**Flights
 $6000:12 = 500$**

- You can manage the budget on an annual or monthly basis.
- With the annual option, the deviation from the budget forecast is measured against the actual balance of the G/L account for the current fiscal year.
- In our example, if OEC Computers will choose the annual budget option and enter a forecast amount of **6000** to the **flight expense** account, then the check for budget deviation would always be against this amount.
- For the monthly option, the system distributes the budget forecast amount for each G/L account among the months of the year. In each month the transactions that debit this G/L account are being compared against the distributed monthly amount.
- If OEC Computers will choose the monthly option and enter the same amount of **6000** as the forecast amount of the **flight expense** account, then the system would distribute this amount to 12, allocating a monthly budget of **500**.
- The check for budget deviation would be against this distributed amount.

Annual Versus Monthly Budget



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- Let us assume we are now in October, the actual balance in the flight expense G\L account is **5000**, a purchase order for a flight ticket with a total amount of **600** is being issued.
- With the annual option, the budget check will approve this expense because **5600** is still within the year forecast amount of **6000**.
- According to the monthly budget, the limit for expenses on flight tickets in each month is **500**, so **600** is already a budget deviation and therefore the purchase order would be blocked.
- Note that if the warning option is chosen in the *General Settings* for budget, then the system would present an alert when the budget is exceeded. The user can confirm and add the transaction if an authorization to confirm budget deviation was defined for this user.

Step 3 - Define Budget Distribution Methods



Budget Distribution Methods - Setup

Method	Method Name	Total
1	Equal	12.00

Month	Factor
1	1.00
2	1.00
3	1.00
4	1.00
5	1.00
6	1.00
7	1.00
8	1.00
9	1.00
10	1.00
11	1.00
12	1.00
	12.00

OK Cancel Clear **Set as Default**

Budget Distribution Methods - Setup

Method	Method Name	Total
2	Ascending Order	78.00

Month	Factor
1	1.00
2	2.00
3	3.00
4	4.00
5	5.00
6	6.00
7	7.00
8	8.00
9	9.00
10	10.00
11	11.00
12	12.00
	78.00

OK Cancel Clear **Set as Default**

Budget Distribution Methods - Setup

Method	Method Name	Total
3	Descending Series	78.00

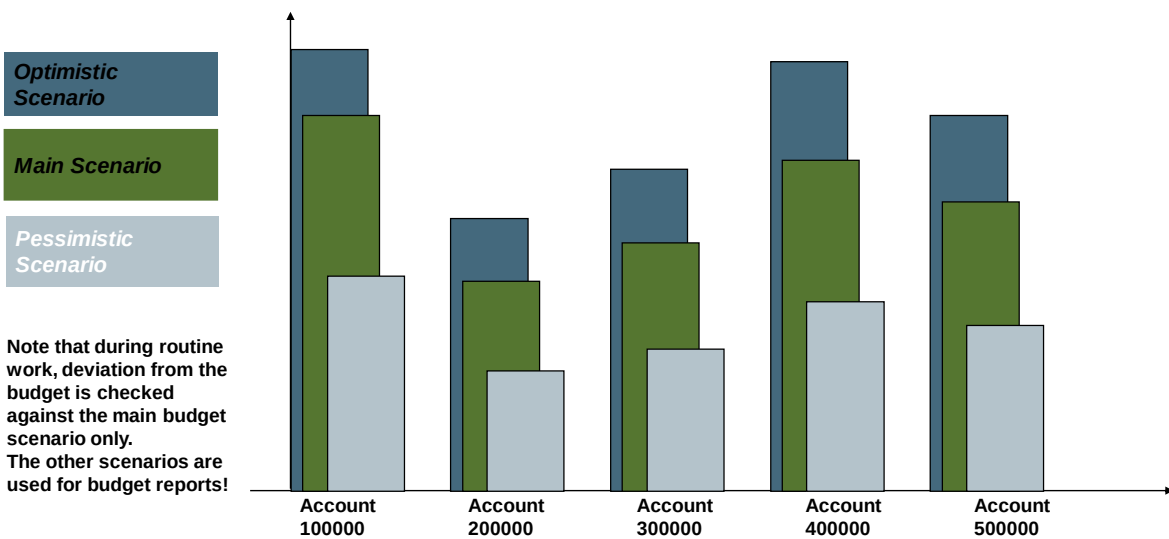
Month	Factor
1	12.00
2	11.00
3	10.00
4	9.00
5	8.00
6	7.00
7	6.00
8	5.00
9	4.00
10	3.00
11	2.00
12	1.00
	78.00

OK Cancel Clear **Set as Default**

* Not relevant for working with an annual budget.

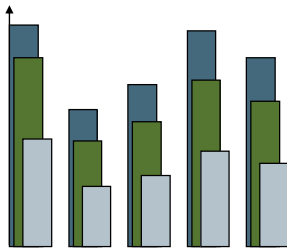
- In the example we have just seen, SAP Business One used the *Equal* budget distribution method to automatically divide the budget amount among the months of year.
- SAP Business One automatically defines the following 3 common budget distribution methods:
 - The *Equal* one.
 - *Ascending Order* – which distributes the budget amount in an ascending order and is used when you increase your budget expenses over the months of the year. For example, in January you use only a small proportion of your budget amount, in February you increase your expenses, and so on.
 - *Descending Order* – that distributes the budget amount in a descending order and is used when you decrease your budget expenses over the months of the year. For example, in January you use the largest proportion of your budget amount, in February you use a little less, and so on.
- These methods cannot be revised. However, you can choose to add additional methods. Choose **Financials** → **Budget Setup** → **Budget Distribution Methods**.
- Note that later on, you can change the distribution of the budget amounts manually for each account.
- You can define a certain distribution method as the default method by choosing the *Set as Default* button.
- Also note that budget distribution methods are **not** relevant for working with an annual budget.

Budget Scenarios



- Budget scenarios are used mainly for displaying budget reports. Using a scenario, you create an analysis of a particular situation for the company's budget and obtain information about what the budgetary balance would be according to the selected scenario. For example: an optimistic scenario versus a pessimistic scenario.
- When you set up a new company, the application provides a default scenario called **Main Budget**. This scenario cannot be edited.
- For each scenario the company uses, you should later enter budget amounts
- Note that in the course of routine work, deviation from the budget is checked against the main budget only. The other scenarios are used only for budget reports!

Budget Scenarios



Budget Scenarios - Setup

Fiscal Year: 01.01

#	Budget Name	Based On	Initial Ratio (%)	Rounding Method
1	Main Budget	Main Budget	100	No Rounding
2	Optimistic Budget	Main Budget	120	No Rounding

OK Cancel Copy Scenario Import Scenario

- To define budget scenarios choose **Financials → Budget Setup → Budget Scenarios**.
- Select a fiscal year. Then, in the menu bar, choose **Data → Add Row** or right-click in the window and choose **Add Row**.
- The first defined scenario will be the default main scenario and therefore cannot be deleted. In addition, the *Based On* and the *Initial Ratio* fields in the main scenario cannot be changed.
- In the next step we will enter budget amounts to this main budget scenario.
- The **Import Scenario** function lets you import budget scenario from other SAP Business One company into new budget scenario. Make sure during the operation that the G/L account codes in the source company match those in the target company.
- The **Copy Scenario** function lets you copy budget data from a budget scenario into a target budget scenario in the same company for the same fiscal year or for the next fiscal year.

Step 4 - Defining Budget Amounts

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Define
Budget
Amounts

Budget Scenario Definition

Scenario: Main Budget-01.01.
Distr. Rule:
Project:

Fikd: 1

#	X	Account
1		Assets
37		Liabilities
53		Capital and Reserves
69	X	Turnover
97	X	Cost of Sales
157	X	Operating Costs
281	X	Non-Operating Income and Expenditure
304	X	Taxation and Extraordinary Items

OK Cancel

- Finally, you define budget amounts. Choose **Financials → Budget Setup → Budget**.
- Choose the scenario for which you want to define a budget and choose the required G/L accounts.

Defining Budget Amounts

Budget Scenarios - Setup (Scenario - Main Budget)

#	Acct No.	Acct Name	Paren...	%	Method	Debit	Credit	Actual	Distr. Ru...	Distr. Ru...	Distr. Ru...
1	610000	Electricity			Equal	BP 10,000.00		1,600.00			
2	610010	Water			Equal	GBP 5,000.00		JP 400.00			
3	610020	Gas			Equal	GBP 4,000.00		JP 800.00			
4	610030	Telephone			Equal	GBP 5,000.00		4,000.00			
5	615000	Premises In			Equal	GBP 3,000.00					
6	615010	Vehicle Insu			Equal	GBP 2,000.00					
7	620000	Property R			Equal	BP 50,000.00					
8	620020	Cleaning &			Equal	GBP 5,000.00					
9	620040	Gardening			Equal	GBP 3,000.00					
10	625000	Fares			Equal	BP 25,000.00					
11	625100	Travel Cost			Equal	BP 30,000.00					

Budget Item Details

Account Number: 625100 Account Name: Travel Costs - Other

Total (Local): 30,000.00 Total (System): 30,000.00

Month (2016)	Local	System	%
January	GBP 2,500.00	GBP 2,500.00	8.33
February	GBP 2,500.00	GBP 2,500.00	8.33
March	GBP 2,500.00	GBP 2,500.00	8.33
April	GBP 2,500.00	GBP 2,500.00	8.33
May	GBP 2,500.00	GBP 2,500.00	8.33
June	GBP 2,500.00	GBP 2,500.00	8.33
July	GBP 2,500.00	GBP 2,500.00	8.33
August	GBP 2,500.00	GBP 2,500.00	8.33
September	GBP 2,500.00	GBP 2,500.00	8.33
October	GBP 2,500.00	GBP 2,500.00	8.33
November	GBP 2,500.00	GBP 2,500.00	8.33
December	GBP 2,500.00	GBP 2,500.00	8.37
For Reconciliat			100.00

Remarks: [Text Field]

Buttons: OK, Cancel, Update Differences

- In the **Local Debit / Credit** column specify an amount in local currency for each G/L account.
- Note that:
 - You can define budget amounts only for G/L accounts which are defined as *Relevant to Budget* in the Chart of Accounts.
 - SAP Business One checks the budget for deviations against the **debit side** of the transactions registered to the G/L account. Thus, alerts are only triggered for accounts with a budgeted amount in the *Debit* column. You can use the *Credit* field for sales accounts to set revenue targets which you can track with the budget report.
- When you create a new budget that includes accounts without previous budget definitions, the window does not display any accounts. In such a case, select the *Display Accounts with no Budget* checkbox.
- For each account, you can change the budget amount and the distribution method. You can also change the distribution of the budget amounts manually using the *Budget Item Details* window. Double-click the required row number in the table, or right-click the row and choose *Row Details*.
- If you change the budget amounts manually, the *Method* column in the *Budget Scenarios – Setup* window changes to *Manual* and is marked in red in the corresponding G/L account row.

Defining Budget Amounts

Budget Scenarios - Setup (Scenario - Main Budget)

☐ Display Accounts with no Budget

Dimension

Departments

Fiscal Year - 01.01

#	Acct No.	Acct Name	Paren...	%	Method	Local		Actual	Cost Accounting		
						Debit	Credit		Distr. Rul...	Distr. Rul...	Distr. Rul...
1	610000	Electricity			Equal	BP 10,000.00		1,600.00			
2	610010	Water			Equal	GBP 5,000.00		BP 400.00			
3	610020	Gas			Equal	GBP 4,000.00		BP 800.00			
4	610030	Telephone			Equal	GBP 5,000.00		4,000.00			
5	615000	Premises In			Equal	GBP 3,000.00					
6	615010	Vehicle Insu			Equal	GBP 2,000.00					
7	620000	Property Ri			Equal	BP 50,000.00					
8	620020	Cleaning &			Equal	GBP 5,000.00					
9	620040	Gardening			Equal	GBP 3,000.00					
10	625000	Fares			Equal	BP 25,000.00					
11	625100	Travel Cost			Equal	BP 30,000.00					

OK

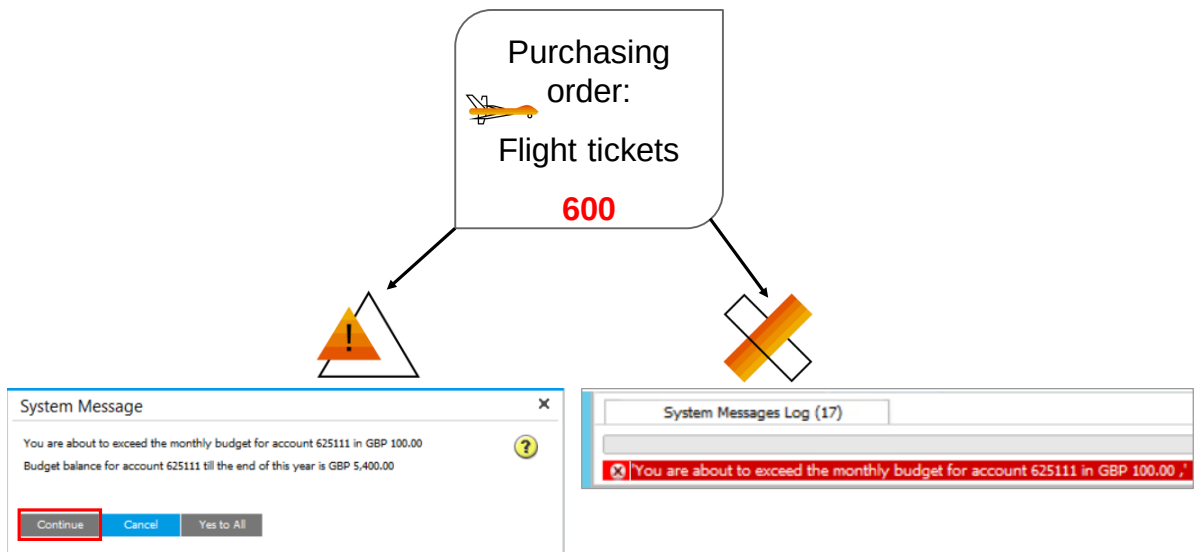
Cancel

Expand

Collapse

- The *Actual* column will present the balance in this account based on its journal entries.
- When you define a budget amount for a G/L account that already has a bookkeeping balance, SAP Business One displays a system message about existing transactions in the system and asks you if you want to restore the account accumulator.
- Choosing *Yes Copies* the current G/L account's bookkeeping balance for the chosen fiscal year to the Actual column. This means that SAP Business One considers the current bookkeeping balance as its starts to calculate the used budget amounts. Choosing *No Ignores* the G/L account's current bookkeeping balance and starts calculating the used budget as of this moment (zero budget amount used).

Getting Down to Work



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- Now the budget is defined for the selected accounts, enabling you to perform an analysis by comparing the defined budget with the actual business activity.
- In the course of routine work, when you create a transaction against an expense G/L account which is relevant to budget, a check for deviation from the main budget scenario is executed, and if the budget is exceeded, an alert is issued.
- When the *Warning* option is chosen in the general settings for budget, the user can choose to continue and add the transaction, or cancel.
- Note that this is subjected to authorization to confirm budget deviation.
- If the *Block Deviation from Budget* option was defined, then the system will block the creation of the transaction that causes the budget to be exceeded.

Budget Report



Budget Report				
Date From		01.01	To	31.12.
		☒ Display Subtotals		
		Annual Report		
Account Name	Budget	Actual	Difference	Difference in %
Operating Costs	P 142,000.00	BP 6,800.00	P 135,200.00	95.21
605031 - Utilities	BP 24,000.00	BP 6,800.00	BP 17,200.00	71.67
605032 - Utilities	BP 24,000.00	BP 6,800.00	BP 17,200.00	71.67
605033 - Utilities	BP 24,000.00	BP 6,800.00	BP 17,200.00	71.67
610000 - Electricity	BP 10,000.00	BP 1,600.00	GBP 8,400.00	84.00
610010 - Water	GBP 5,000.00	GBP 400.00	GBP 4,600.00	92.00
610020 - Gas	GBP 4,000.00	GBP 800.00	GBP 3,200.00	80.00
610030 - Telephone	GBP 5,000.00	BP 4,000.00	GBP 1,000.00	20.00
610040 - Insurance	GBP 5,000.00		GBP 5,000.00	100.00
610041 - Insurance	GBP 5,000.00		GBP 5,000.00	100.00
610042 - Insurance	GBP 5,000.00		GBP 5,000.00	100.00
615000 - Premises Insur	GBP 3,000.00		GBP 3,000.00	100.00
615010 - Vehicle Insur	GBP 2,000.00		GBP 2,000.00	100.00
615020 - Property Expenses	BP 58,000.00		BP 58,000.00	100.00

- Choose **Financials** → **Financial Reports** → **Budget Reports** → **Budget Report**.
- The Budget Report enables you to display the company's budget data according to your requirements.
- This report analyzes the business activities that occur during a defined period, with reference to a selected budget scenario.

Financial Budget Reports

Profit and Loss Statement Budget Report

Date From 01.01. To 31.12. ☒ Display Subtotals Level 5

Account Name	Budget	Actual	Difference	Diff. in %
Total 640040 - Depreciation		GBP (6,468.40)		
645140 - Financial Expenses		GBP 8,700.00		
645141 - Financial Expenses		GBP 8,700.00		
645142 - Financial Expenses		GBP 8,700.00		
645500 - Acquisition Clearing		GBP 8,700.00		
Total 645142 - Financial Expenses		GBP 8,700.00		
Total 645141 - Financial Expenses		GBP 8,700.00		

OK



- Choose **Financials** → **Financial Reports** → **Budget Reports**
- The standard financial reports can be displayed along with the budget data: *Balance Sheet*, *Trial Balance*, *Profit and Loss Statement*.
- You can run the budget reports according to a preferred budget scenario.

Summary



Here are some key points:

- The purpose of budgeting is to provide a forecast of revenues and expenditures. This way, the actual financial operation of the business can be measured against the forecast.
- After initializing the budget, you define what should happen when documents deviate from budget. Whether to block the creation of transactions that cause the budget to be exceeded. Or to present an alert. The user can confirm and add the transaction if an authorization to confirm budget deviation was defined for this user.
- You have the option to mark all profit and loss accounts as budget accounts.

- Here are some key points:
 - The purpose of budgeting is to provide a forecast of revenues and expenditures. This way, the actual financial operation of the business can be measured against the forecast.
 - After initializing the budget, you define what should happen when documents deviate from budget. Whether to block the creation of transactions that cause the budget to be exceeded. Or to present an alert. The user can confirm and add the transaction if an authorization to confirm budget deviation was defined for this user.
 - You have the option to mark all profit and loss accounts as budget accounts.

Summary – cont.



- You can manage the budget on an annual or monthly basis. With the annual option, the deviation from the budget forecast is measured against the actual balance of the G/L account for the current fiscal year.
- For the monthly option, the system distributes the budget forecast amount for each G/L account among the months of the year. The check for budget deviation would be against this distributed amount.
- You define budget amounts to the budget scenario.
- In the course of routine work, deviation from the budget is checked against the main budget only. The other scenarios are used for budget reports!
- SAP Business One checks the budget for deviations against the **debit side** of the transactions registered to the G/L account.

- You can manage the budget on an annual or monthly basis. With the annual option, the deviation from the budget forecast is measured against the actual balance of the G/L account for the current fiscal year.
- For the monthly option, the system distributes the budget forecast amount for each G/L account among the months of the year. The check for budget deviation would be against this distributed amount.
- You define budget amounts to the budget scenario.
- In the course of routine work, deviation from the budget is checked against the main budget only. The other scenarios are used for budget reports!
- SAP Business One checks the budget for deviations against the debit side of the transactions registered to the G/L account.

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